

consumers and merchants, made a disappointing stock market debut because of investor concerns around its perceived overvaluation and lack of profitability at that time.

MATURITY OR MAKEOVER?

Profitability achieved just ahead of going public can, of course, signify genuine business discipline. On the flip side, it can also mean short-term financial manoeuvring designed to meet market expectations, analysts and market participants say.

Explaining the broader backdrop, Chandra of Arkam Ventures points to shifting global dynamics. As public markets rallied, IPO size thresholds—especially on overseas markets like Nasdaq—rose sharply.

“For many Indian start-ups that had earlier incorporated overseas with an eye on foreign listings, these markets began to look increasingly difficult to access,” says Chandra, formerly Managing Director of Helion Ventures, one of the earliest India-focused VC firms. That prompted several companies to flip back to India.

In some recent listings, the ecosystem acknowledged that private market pricing had overshot public market realities. Subsequent valuation resets lowered the high watermark, making their IPOs viable again.

Chirag Agrawal, Partner and Head of Investment Banking at Deloitte South Asia, cautions against relying on revenue metrics alone.

“GMV or topline growth doesn’t tell the full story; what matters is how revenue is generated and whether the business model is sustainable. Growth should be organic, not simply bought,” he says. GMV stands for gross merchandise value, a key metric in e-commerce.

A business, Agrawal adds, should prove its ability to scale independently before tapping public markets. “Capital is available, but the rush to list is often driven by richly valued private markets in India,” he says.

For Sandesh Sharda, a veteran Washington-based investor, consistency



“GOVERNANCE CENTRAL TO HOW WE BUILT COMPANY”

Prateek Maheshwari, Co-founder of Physicswallah, on whether the shift towards profitability among start-ups is a sign of business maturity, or simply a reflection of changing investor expectations

BY PALAK AGARWAL

FROM A YOUTUBE CHANNEL started by Alakh Pandey to a company with a market capitalisation over ₹36,000 crore, PhysicsWallah has reshaped perceptions of India’s edtech ecosystem. In an interview with *BT*, Prateek Maheshwari, Co-founder of PhysicsWallah, talks about how building a community-first model helped in setting a strong foundation for the firm. The company made a spectacular market debut although its shares slipped to ₹131.2 as of January 14 from ₹155.24 on listing in November 2025. Financially, the firm cut its loss to ₹243 crore in FY25 from ₹1,131 crore in FY24. Recent quarterly results indicate it is moving towards sustained profitability. Edited excerpts:



As more start-ups emphasise profitability ahead of public listings, how do you view the shift? Does it reflect greater business maturity,

or a change in investor expectations?

The shift towards profitability marks a healthy convergence of business maturity and realistic investor expectations. In the early stages of building a consumer tech brand, prioritising scale and habit formation is necessary to reshape user behavior even when unit economics don’t immediately reflect long-term potential. This was exactly our journey at PhysicsWallah. By starting with a community-first model focused on trust and affordability, a strong foundation was built before expanding into new categories and offline centres. As these cohorts matured, operating leverage and stronger unit economics followed naturally. For the public markets, profitability is not a target to optimise ahead of a listing but the ultimate proof that the vision works at scale.



What operational or finan-